

Illustrative financing term sheet

Northline Industrial Property Portfolio. Independent document-design example. Fictional assumptions, no actual transaction or offer.

Item	Illustrative terms
Borrower	Northline Acquisition Entity
Collateral	Ten fictional industrial properties, 206,000 sq ft
Purchase price	\$15,000,000
Total project cost	\$16,000,000, including \$500,000 costs and \$500,000 reserves
Senior facility	\$9,600,000, 60% of total project cost
Sponsor equity	\$6,400,000, 40% of total project cost
Interest and amortization	7.00% annually, interest-only for this illustration
Annual debt service	\$672,000
Annual portfolio NOI	\$1,050,000, before debt service
Interest-only DSCR	1.56x
Illustrative maturity	36 months from closing
Conditions to closing	Client-approved diligence, executed documents and funding confirmation

Arithmetic

Sources: $\$9.60\text{M} + \$6.40\text{M} = \$16.00\text{M}$. Uses: $\$15.00\text{M} + \$0.50\text{M} + \$0.50\text{M} = \16.00M . Annual interest: $\$9.60\text{M} \times 7.00\% = \0.672M . DSCR: $\$1.05\text{M} / \$0.672\text{M} = 1.5625\text{x}$.

A real project would use the client-approved term sheet, underwriting assumptions and legal names. No return forecast is represented.